

ShopSphere Operations

Enterprise Customer Support Knowledge Base

Confidential - Internal Use Only

Last Updated: October 2023

KB-001: Standard Return Policy

Document Owner: Customer Success Operations | **Applicability:** Global Customer Service Representatives (CSRs) | **Related Systems:** ShopSphere Return Portal (SRP)

1. Overview and Scope

This document outlines the standard procedural guidelines for customer-initiated returns at ShopSphere. The Standard Return Policy dictates the baseline eligibility, timeframes, and condition requirements that must be met for a customer to successfully return an item and receive a refund. This policy applies to all standard merchandise purchased directly through the ShopSphere platform, excluding explicitly non-returnable items. Customer Service Representatives (CSRs) must adhere to these guidelines when evaluating return requests, bearing in mind that deviations require supervisor approval unless covered under ShopSphere Premium exceptions.

2. Eligibility and Return Windows

Standard ShopSphere account holders are entitled to initiate a return within 30 calendar days from the date the carrier marks the parcel as "Delivered" in the logistics tracking system. Once the Return Merchandise Authorization (RMA) is generated in the ShopSphere Return Portal (SRP), the customer has an additional 14 calendar days to tender the package to an authorized carrier. Failure to scan the package within this 14-day window will result in the automatic cancellation of the RMA, and the return will no longer be accepted.

ShopSphere Premium members receive an extended return window of 60 calendar days from the delivery date, alongside a 21-day package tender window. CSRs must verify the customer's membership status in the Customer Relationship Management (CRM) tool before enforcing standard deadlines. If a customer attempts to return an item on day 31 (for standard) or day 61 (for Premium), the system will automatically reject the request. Exceptions to this timeline are strictly limited to peak holiday periods (November 15 through December 31), during which all purchases benefit from an extended return window lasting until January 31 of the following year.

3. Condition Requirements and Exclusions

To qualify for a full refund, items must be returned in their original, resalable condition. This means the product must be unworn, unused, unwashed, and unaltered, with all original tags, labels, and hygiene liners intact. Products that arrive at our fulfillment centers showing signs of wear, strong odors (such as smoke or perfume), or missing original packaging will be flagged during the Refund Processing Workflow and may be subjected to a partial refund or returned to the customer at their expense.

Certain product categories are permanently excluded from the Standard Return Policy due to health, safety, or customization reasons. These include intimate apparel, swimwear with a removed hygiene strip, perishable goods, software with broken factory seals, and personalized or custom-engraved items. If a customer attempts to force a return of these items without prior authorization, the Warehouse Management System (WMS) will flag the item for immediate disposal, and no refund will be issued.

4. Shipping Costs and Restocking Fees

Under the Standard Return Policy, return shipping costs are the responsibility of the customer. A flat-rate return shipping fee of \$7.99 is automatically deducted from the final refund amount when the customer utilizes a ShopSphere-provided prepaid shipping label. Customers may elect to use their own carrier; however, ShopSphere takes no responsibility for items lost in transit when a non-platform label is used. ShopSphere Premium members are exempt from all return shipping fees, provided they use the official ShopSphere generated label.

Additionally, high-value electronics and heavy-weight furniture items are subject to a 15% restocking fee. This fee covers the extensive functional inspection and repackaging required for these categories. The restocking fee is calculated based on the purchase price of the item before taxes and shipping. If the item is returned unopened with the manufacturer's seal fully intact, the CSR has the authority to waive the restocking fee upon photographic verification from the receiving warehouse.

Important: If a customer claims an item arrived damaged or defective, they must be immediately routed to the Damaged Product Return Policy (KB-003). Standard return shipping and restocking fees absolutely cannot be applied to damaged or defective merchandise.

KB-002: Refund Processing Workflow

Document Owner: Financial Operations & Logistics | **Applicability:** Warehouse Inspection Agents, CSRs
| **Related Systems:** WMS, Payment Gateway API

1. Introduction

The Refund Processing Workflow defines the internal lifecycle of a returned item once it physically arrives at a ShopSphere logistics hub. This document provides step-by-step guidance on receiving, inspecting, approving, and executing financial refunds to the customer. Efficiency and accuracy in this workflow are critical to maintaining customer satisfaction and minimizing operational bottlenecks. CSRs use this document to understand the timeline and set accurate expectations when customers inquire about pending refunds.

2. Receiving and Initial Routing

When a return parcel arrives at the designated ShopSphere facility, the receiving dock scans the external tracking barcode. This initial scan updates the customer's portal to "Return Received - Pending Inspection." At this stage, the WMS automatically routes the package to either the Standard Inspection Queue or the High-Value/Electronics Inspection Queue based on the SKU tied to the RMA. The Service Level Agreement (SLA) for moving a package from the receiving dock to an inspection station is 48 business hours.

3. The Inspection Process

The core of the workflow is the inspection phase. The inspector opens the WMS interface, scans the internal RMA barcode, and physically verifies the contents against the declared return.

- **Tier 1 Inspection (Standard Apparel and Home Goods):** The inspector checks for general condition, verifying that tags are attached and there are no signs of wear. If the item passes, it is routed to inventory restocking.

- **Tier 2 Inspection (Electronics, High-Value, and Complex Items):** These items require functional testing. The inspector verifies serial numbers against the original outbound shipment to prevent return fraud (e.g., returning an older model in a new box). If the serial number does not match, the RMA is immediately locked, and the Fraud Prevention Team takes over the case.

If an item fails inspection due to customer damage or missing components, the inspector logs photographic evidence in the WMS and applies a "Condition Exception" flag. The CSR is then notified to contact the customer, informing them that only a partial refund (up to 50% deduction) or no refund will be issued, depending on the severity of the violation.

4. Financial Execution and Timelines

Once an item passes inspection, the WMS triggers an API call to the ShopSphere payment gateway to initiate the financial transfer. Refunds are strictly processed back to the original payment method. If the original payment method is closed or expired, the system will automatically default to issuing ShopSphere Store Credit. Under no circumstances can a CSR manually reroute a refund to a different credit card or bank account.

The internal processing time for the API trigger is instantaneous upon inspection approval. However, customers must be advised that bank processing times vary. Standard credit and debit card refunds typically take 5 to 10 business days to reflect on the customer's statement. PayPal or ShopSphere Store Credit refunds are generally available within 24 hours. For ShopSphere Premium members, the system utilizes "Advanced Refund Execution," where the refund is initiated the moment the carrier scans the return package, bypassing the wait for physical warehouse inspection. However, if the subsequent warehouse inspection fails, ShopSphere reserves the right to charge the Premium member's card for the refunded amount.

5. Exceptions and Edge Cases

A notable edge case involves "Empty Box Returns." If an inspector opens a return parcel and finds it empty or containing extraneous weight (e.g., rocks or old clothing), the Refund Processing Workflow is immediately halted. The CSR must inform the customer that an internal investigation, including carrier weight logs, has been initiated. Refunds are entirely suspended during this period. Additionally, if the return contains items associated with the Exchange and Replacement Guidelines rather than a standard refund, the WMS reroutes the workflow to the outbound fulfillment queue rather than the financial queue.

KB-003: Damaged Product Return Policy

Document Owner: Quality Assurance & Logistics | **Applicability:** Tier 1 & 2 Support Agents | **Related Systems:** Zendesk, SRP, Carrier Claims Portal

1. Policy Purpose and Definition

The Damaged Product Return Policy is distinct from the Standard Return Policy. It governs the procedures for handling situations where a customer receives merchandise that is defective, broken, or damaged during transit. ShopSphere holds itself to a high standard of product quality and delivery, and when these standards are not met, swift and frictionless resolution is paramount. This document provides CSRs with the criteria and workflows necessary to validate damage claims, assist the customer, and initiate back-end carrier claims without causing undue stress to the buyer.

2. Reporting Window and Evidence Collection

Time is of the essence when dealing with damaged goods, primarily due to the strict claims windows enforced by our logistics partners. Customers must report a damaged product within 48 hours of the delivery timestamp recorded by the carrier. Claims reported outside of this 48-hour window become increasingly difficult to attribute to transit damage versus post-delivery mishandling, and may be subject to denial or routed through the standard warranty process instead.

When a customer reports a damaged item, the CSR must immediately request photographic or video evidence. Acceptable evidence must include clear, well-lit photos of the damaged merchandise, a photo of the exterior shipping box showing any crushing or punctures, and a close-up of the shipping label. The customer must not discard the item or the packaging until the claim is resolved. If the customer fails to provide evidence within 5 business days of the initial report, the ticket will be automatically closed.

3. Workflow for Damaged Returns

Once evidence is reviewed and verified by a CSR, the standard return procedures are bypassed. The CSR must manually generate a "Damage/Defect Exception RMA" in the ShopSphere Return Portal. This specialized RMA ensures the WMS routes the incoming package to the Quality Assurance (QA) dock rather than the standard inspection queue.

Crucially, all return shipping costs are waived for damaged products. Furthermore, any restocking fees that might normally apply to the category (such as the 15% fee for electronics)

are entirely nullified. The CSR will issue a prepaid overnight or two-day shipping label to expedite the return. In cases involving hazardous materials (e.g., a punctured battery or leaking chemical product), the CSR must instruct the customer not to ship the item. Instead, the CSR will issue an immediate refund or replacement and provide local safe disposal instructions.

4. Resolution Options: Refund vs. Replacement

Customers processing a damaged item claim are entitled to choose between a full refund to their original payment method or an expedited replacement. If a refund is chosen, it is processed via an expedited tier of the Refund Processing Workflow, generally clearing our internal system within 24 hours of the claim approval, irrespective of warehouse receipt.

If the customer requests a replacement, CSRs must follow the specific advanced replacement procedures outlined in the Exchange and Replacement Guidelines. For ShopSphere Premium members, an immediate replacement order is triggered the moment the photographic evidence is validated, regardless of whether the damaged item has been handed over to the carrier yet. Standard members will have their replacement shipped as soon as the carrier registers the first scan on the damaged return package.

5. Logistics Partner Claim Initiation

Simultaneously with customer resolution, the CSR must file a claim in the Carrier Claims Portal for any transit-related damage. The CSR compiles the photographic evidence, the original invoice, and the internal damage report. Recovering the cost of the damaged inventory from the carrier is vital to ShopSphere's financial health. If the damage is determined to be a manufacturing defect rather than transit damage, the ticket is routed to the Vendor Relations team to issue a chargeback to the supplier.

KB-004: Shipping Delay Compensation Policy

Document Owner: Logistics Operations | **Applicability:** All Support Staff | **Related Systems:** ERP Tracking Module, CRM Concession Engine

1. Policy Overview

The Shipping Delay Compensation Policy establishes the framework for financially compensating customers whose orders fail to arrive within the promised delivery window. E-

commerce relies heavily on predictable logistics, and missed Service Level Agreements (SLAs) result in poor customer experience. This document instructs CSRs on how to categorize delays, identify fault (warehouse vs. carrier), and apply the appropriate tiered compensation via the CRM Concession Engine. It is vital to accurately apply this policy to maintain customer loyalty while protecting the company's margins from excessive discretionary credits.

2. Defining a Delay and Identifying Fault

A shipment is officially classified as "Delayed" if it has not been marked "Delivered" by 11:59 PM local time on the final day of the estimated delivery window provided at checkout. Before applying any compensation, CSRs must investigate the root cause of the delay using the ERP Tracking Module.

Delays fall into two primary categories: Warehouse Processing Delays and Carrier Transit Delays. Warehouse processing delays occur when an item fails to leave a ShopSphere facility within the standard 2-business-day packing window. Carrier transit delays occur after the package has been handed over to logistics partners but gets stalled in their network. Notably, exceptions flagged by the carrier as "Force Majeure" or "Act of God" (such as severe weather events, natural disasters, or customs holds for international shipments) exempt the shipment from standard compensation thresholds, though CSRs may still offer minor goodwill gestures.

3. Compensation Tiers

Compensation is strictly tiered based on the severity of the delay and the customer's membership tier. The following matrix applies to Standard ShopSphere accounts:

- **Tier 1 Delay (1 to 4 days past SLA):** CSRs should offer a formal apology and proactively monitor the tracking. If the customer complains, the CSR is authorized to issue a \$10 ShopSphere Store Credit.
- **Tier 2 Delay (5 to 10 days past SLA):** The customer is entitled to a refund of any expedited shipping fees paid. If standard free shipping was used, the CSR must issue a 10% partial refund of the order subtotal to the original payment method, capped at \$50.
- **Tier 3 Delay (Over 10 days past SLA or "Lost in Transit"):** If tracking shows no movement for 7 consecutive days, the package is deemed lost. The customer must be offered the choice of a full 100% refund or an expedited free replacement order.

4. ShopSphere Premium Guarantees

ShopSphere Premium members are guaranteed a strict 2-day delivery SLA. If a Premium order is delayed by even a single day, the system will automatically trigger a proactive email notification to the customer containing a \$15 Store Credit. If a Premium shipment reaches a Tier 2 delay (5+ days), they are immediately upgraded to Tier 3 compensation, receiving a full refund while being allowed to keep the item if it eventually arrives. This aggressive concession

strategy is a cornerstone of the Premium subscription value proposition and must never be blocked by a CSR.

5. Delivery Refusal and Return Intersections

In some cases, a severe delay prompts the customer to purchase the item elsewhere. If a customer wishes to cancel an order that is already in transit and delayed, they must be instructed to refuse delivery when the carrier arrives. Once the tracking updates to "Refused - Returning to Sender," the CSR can process the order under the Standard Return Policy. However, because the return is a direct result of a ShopSphere SLA failure, the standard \$7.99 return shipping fee is waived. The refund will then follow the standard Refund Processing Workflow, triggering the payment once the warehouse confirms receipt of the refused package.

KB-005: Exchange and Replacement Guidelines

Document Owner: Inventory & Customer Success | **Applicability:** Retail Support Agents | **Related Systems:** WMS, SRP, Order Management System (OMS)

1. Introduction to Exchanges

The Exchange and Replacement Guidelines govern the processes for customers who wish to swap an item for a different size, color, or variant, rather than requesting a straight financial refund. Facilitating an exchange instead of a return is operationally preferred as it retains the revenue from the original sale. This document details the procedures for standard exchanges, inventory reservation, and advanced replacements. It requires careful coordination between the Order Management System (OMS) and the WMS to ensure smooth execution.

2. Standard Exchange Procedure

A standard exchange occurs when a customer wishes to return an undamaged item under the Standard Return Policy and receive a different variant in return. The customer must initiate the process via the ShopSphere Return Portal (SRP) within the standard 30-day window (60 days for Premium). The items being returned for exchange are subject to the same strict condition requirements outlined in KB-001; they must be unworn, unwashed, and have tags attached.

During a standard exchange, the replacement item is placed on a "Soft Hold" in the inventory system. This ensures the desired size or color does not sell out while the customer's original

item is in transit back to the warehouse. The hold remains active for 14 calendar days. If the customer fails to tender the original item to the carrier within this timeframe, the Soft Hold is released, and the exchange request is converted into a standard return for store credit.

3. Processing and Dispatch

Under the standard workflow, the replacement item is only dispatched after the original item has arrived at the warehouse and passed the Tier 1 Inspection in the Refund Processing Workflow. Once the inspector approves the condition of the returned item, the WMS signals the OMS to convert the Soft Hold into a firm outbound order. Unlike standard returns, ShopSphere waives the \$7.99 return shipping fee for the first exchange on any given order. However, if the customer wishes to exchange the item a second time, both return shipping and outbound shipping fees will apply.

If the requested exchange item is out of stock at the time of the request, a direct exchange cannot be processed. The CSR must advise the customer to process a standard return for a refund or store credit, and to sign up for restock notifications on the product page.

4. Advanced Replacements (Premium and Exceptions)

Advanced Replacements, also known as cross-shipping, involve dispatching the new item before the customer's original item is received by the warehouse. This service is exclusively available to ShopSphere Premium members or under the Damaged Product Return Policy when expediting a fix for a broken item.

When an Advanced Replacement is initiated, the OMS immediately generates an outbound order for the replacement item with priority shipping. Simultaneously, the system authorizes a pre-authorization hold on the customer's credit card for the value of the replacement item. The customer has exactly 14 calendar days to return the original item. If the original item is not scanned by the carrier within 14 days, or if it arrives and fails the condition inspection, the pre-authorization is captured, and the customer is permanently charged for both items.

5. Price Discrepancies and Upgrades

Exchanges are strictly limited to even swaps—meaning the new item must have the exact same retail price as the original item (e.g., swapping a medium shirt for a large shirt of the same style). The system does not support "upgrade" exchanges where a customer pays the difference for a more expensive item. If a customer wishes to exchange for a different product entirely, the CSR must process the transaction as a standard return for a refund, followed by a completely new, separate transaction for the desired item. The timelines and conditions of the Standard Return Policy fully apply to the first half of this transaction.